U.S. Citizenship and Immigration Services

Non-Precedent Decision of the Administrative Appeals Office

In Re: 32891620

Date: JAN. 23, 2025

Appeal of Investor Program Office Decision

Form I-526, Immigrant Petition by Alien Entrepreneur

The Petitioner seeks classification as an immigrant investor pursuant to the Immigration and Nationality Act (the Act) Section 203(b)(5), 8 U.S.C. § 1153(b)(5) (2019).[1] This fifth preference (EB-5) classification makes immigrant visas available to noncitizens who invest the requisite amount of qualifying capital in a new commercial enterprise (NCE) that will benefit the United States economy and create at least 10 full-time positions for qualifying employees.

The Chief of the Investor Program Office denied the petition concluding that the record did not establish that the capital, which has been invested by the Petitioner or which the Petitioner is actively in the process of investing, was or is capital obtained through lawful means. The matter is now before us on appeal. 8 C.F.R. § 103.3.

The Petitioner bears the burden of proof to demonstrate eligibility by a preponderance of the evidence. *Matter of Chawathe*, 25 I&N Dec. 369, 375-76 (AAO 2010). We review the questions in this matter de novo. *Matter of Christo's, Inc.*, 26 I&N Dec. 537, 537 n.2 (AAO 2015). Upon de novo review, we will dismiss the appeal.

I. LAW

A noncitizen may be classified as an immigrant investor if they invest the requisite amount of qualifying capital in an NCE. A noncitizen may invest the required funds directly in an NCE or through a regional center, as the Petitioner has done in this case. Regional centers can pool immigrant (and other) investor funds for qualifying projects that create jobs directly or indirectly. 8 C.F.R. § 204.6(j)(4)(iii) (2019).

A noncitizen must demonstrate that they have placed their own capital at risk in the NCE. *See Matter of Ho*, 22 I&N Dec. 206, 213 (Assoc. Comm'r 1998); *Matter of Soffici*, 22 I&N Dec. 158, 165 n.3 (Assoc. Comm'r 1998) (stating that "[a] petitioner must . . . establish, pursuant to 8 C.F.R. § 204.6(e),

[1] On March 15, 2022, President Joseph Biden signed the EB-5 Reform and Integrity Act, which made significant amendments to the EB-5 program, including the designation of targeted employment areas (TEA) and the minimum investment amounts. *See* Section 203(b)(5) of the Act, 8 U.S.C. § 1153(b)(5) (2022). As the Petitioner had filed his petition in December 2018, the relevant law then in existence governs this appellate adjudication.

that funds invested are [their] own"). In addition, the noncitizen must show that their invested capital did not derive, directly or indirectly, from unlawful means. 8 C.F.R. § 204.6(e). To show the lawful source of the funds, an investor must submit evidence such as foreign business and tax records or documentation identifying sources of the capital. *See* 8 C.F.R. § 204.6(j)(3). Bank letters or statements corroborating the deposit of funds by themselves are insufficient to demonstrate their lawful source. *Matter of Ho*, 22 I&N Dec. at 210-11; *Matter of Izummi*, 22 I&N Dec. 169, 195 (Assoc. Comm'r 1998). The record must trace the path of the funds back to a lawful source.[2] *Matter of Ho*, 22 I&N Dec. at 210-11; *Matter of Izummi*, 22 I&N Dec. at 195.

II. ANALYSIS

The Petitioner indicated on page 6 of his petition that on September 18, 2018, he invested $500,000[3] in [redacted] the new commercial enterprise (NCE), which is sponsored by [redacted] pursuant to the Immigrant Investor Pilot Program. The NCE proposes to pool up to $100,000,000 from 117 immigrant investors and will lend the money to [redacted] to fund the expansion of an advanced steel mill in [redacted], Arkansas.

The Petitioner asserted that he derived his investment funds through a cash gift of 13,332,400,000 Vietnamese dong (VND) obtained from his mother out of her accumulated income as sole proprietor of a jewelry business, [redacted] in Vietnam. The Petitioner further asserted that all of the gifted investment funds were "transferred out of Vietnam through [redacted] which transferred the money to [redacted], which then transferred the money to the regional center's escrow account."

In an attempt to document the source and path of his investment funds, the Petitioner submitted a gift declaration from his mother, statements from his mother explaining the source of funds for the gift, business records and tax returns for [redacted] and confirmation of receipt of funds from the NCE's escrow account. In her statements, the Petitioner's mother explained that her late spouse started the jewelry business with a gift from his parents, and that upon her husband's passing in 2014, she became the sole proprietor. She also stated that the business's cash flow is secured at home, that she does not use banking services for her business activities due to the nature of the Vietnamese economy, that her annual income from the business is 8,000,000,000 VND, and that her saved income from 2013 to 2018 was 40,000,000,000 VND. The gift declaration was made on October 30, 2018 and states, "The benefactor [the Petitioner's mother] hereby agrees to give the recipient [the Petitioner] a gift in the amount of 13,322,400,000 VND equivalent to US$555,100."

The letter confirming receipt of the Petitioner's investment funds into the NCE's escrow account is dated September 17, 2018. The letter states that wire transfers were received on September 14 and

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[2] These requirements "serve a valid government interest; i.e., to confirm that the funds utilized in the [EB-5] program are not of suspect origin." *Spencer Enterprises, Inc. v. United States*, 229 F. Supp. 2d 1025, 1040 (E.D. Cal. 2001) (holding that a petitioner had not established the lawful source of her funds because, in part, she did not designate the nature of all of her employment or submit five years of tax returns), *aff'd*, 345 F.3d 683 (9th Cir. 2003).

[3] The Petitioner filed his petition in 2018 and indicated on the petition that the project is located in a TEA. Therefore, the requisite amount of qualifying capital was downwardly adjusted from $1,000,000 to $500,000. *See* 8 C.F.R. § 204.6(f)(2) (2015).

17, 2018, from [redacted] for the benefit of the Petitioner, totaling $550,700.64. The record also includes copies of these transactions.

In a request for evidence (RFE), the Chief requested additional evidence to demonstrate that the Petitioner's invested capital was obtained through lawful means and to document the path of the investment funds. The Chief noted that the Petitioner's mother's statements were unsupported by documentary evidence, such as bank records confirming her accumulated and retained income, or her personal income taxes. The Chief also noted that the record did not document the informal value transfer and path of funds transferring the investment funds out of Vietnam, including any agreement between the Petitioner or his mother with [redacted]

In response to the RFE, the Petitioner submitted articles describing the country conditions in Vietnam and the common practice of conducting business transactions in cash. He stated that his mother does not use banks for her business transactions and that Vietnam law requires businesses to submit income tax returns for employees, rather than requiring individual employment income tax filings. He submitted an additional statement from his mother in which she lists her monthly expenses, as well as his mother's bank statement of transactions from February 2016 to February 2018 (account ending 7767), and a confirmation letter from the bank that her account balance (account ending 4186) on December 12, 2018 was 3 billion VND.

Addressing the path of the investment funds, the Petitioner stated:

> The money originated in the control of the investor [Petitioner], whose mother gifted him the funds in cash and were in his control. After receiving the funds, Petitioner then transferred the funds from [redacted] which transferred the money to [redacted] which subsequently transferred the funds to [redacted], a third-party money Exchanger to convert the VND denominated funds to USD and then transferred the money to the regional center's escrow account.

The Petitioner also submitted a legal opinion regarding foreign currency exchange activities in Vietnam, and a money transfer contract between [redacted] The money transfer contract states that [redacted] agrees to transfer $1,110,200 to [redacted] in Vietnam, and in return [redacted] will transfer $550,580 in the NCE's escrow account on behalf of Petitioner.[4]

The Chief determined that the record was not sufficient to show that the funds used to invest in the NCE were his own funds that were obtained through lawful means. The Chief noted that the record appears to reflect that the Petitioner's cash gift from his mother was returned to her jewelry business, and the money transfer contract was between [redacted] rather than the Petitioner himself. The Chief also determined that the record was

[4] The record indicates that the Petitioner's mother simultaneously gifted her brother 13,332,400,000 for a separate EB-5 investment and that the money transfer contract included a separate transfer of $550,580 to an escrow account on behalf of that individual.

not sufficient to demonstrate the source of funds used by [redacted] to assist the Petitioner with the currency exchange in an informal value transfer (IVT). The Chief concluded that the Petitioner has not established by a preponderance of the evidence that his investment funds were lawfully obtained.

On appeal, the Petitioner contends that the Chief acted ultra vires in requiring that the Petitioner document that the funds exchanged with third parties were lawfully obtained. Specifically, the Petitioner states that the regulations at 8 C.F.R. § 204.6(e) and (j)(3) only require documentation of the lawful source of the capital used for the EB-5 investment and do not "require the Petitioner to show exhaustive documentation of the intermediary agents' financial pathways." The Petitioner relies on evidence already in the record and asserts that this evidence exceeds the preponderance of the evidence standard. However, upon de novo review, we conclude the record does not establish by a preponderance of the evidence that the Petitioner's investment funds were lawfully obtained for the reasons we will discuss below.

A petitioner must establish that they meet each eligibility requirement of the benefit sought by a preponderance of the evidence. *Matter of Chawathe*, 25 I& N Dec. at 375-76. In other words, a petitioner must show that what they claim is "more likely than not" or "probably" true. To determine whether a petitioner has met their burden under the preponderance standard, we consider not only the quantity but also the quality (including relevance, probative value, and credibility) of the evidence. *Id.* at 376; *Matter of E-M-*, 20 I&N Dec. 77, 79-80 (Comm'r 1989).

As noted above, the Petitioner asserts that his funds were derived from a cash gift from his mother, which was derived from her accumulated income from [redacted] He further asserts that the investment funds were routed through third-party exchangers, first to [redacted] then to [redacted], and then to [redacted] There is insufficient documentation to demonstrate the legitimacy of the funds that ultimately reached the [redacted] bank account. The submitted documents do not establish the complete path of the Petitioner's investment funds. To show that the invested funds were obtained through lawful means, a petitioner must produce evidentiary documents listed at 8 C.F.R. § 204.6(j)(3). Bank letters or statements corroborating the deposit of funds by themselves are insufficient to demonstrate their lawful source and the record must trace the complete path of the funds back to a lawful source. *Borushevskyi v. USCIS*, 664 F. Supp. 3d 117, 129 (D.D.C. 2023), *aff'd*, 2024 WL 2762146 (D.C. Cir. May 30, 2024) (holding that demonstrating a "complete path" of funds is USCIS' authoritative position recognized by other relevant precedent decisions); *see also Matter of Ho*, 22 I&N Dec. 206, 210-11 (Assoc. Comm'r 1998); *Matter of Izummi*, 22 I&N Dec. 169, 195 (Assoc. Comm'r 1998).

Based on the Petitioner's assertions, some of which are supported by documentary evidence, the following chronological events describe the source of his investment funds:

- On September 10, 2018, [redacted] entered into an agreement with [redacted] to exchange $550,580 from VND and deposit this amount into the NCE's escrow account on behalf of the Petitioner, as documented in the money transfer contract in the record.
- [redacted] transferred cash to [redacted] The date and manner of this transfer is not stated or documented in the record.

- [redacted] transferred the funds to [redacted] The date and manner of this transfer is not stated or documented in the record.
- [redacted] transferred the funds to [redacted] The date and manner of this transfer is not stated or documented in the record.
- On September 14, 2018, [redacted] transferred $277,921.32 to the NCE's escrow account for the Petitioner's EB-5 investment.
- On September 17, 2018, [redacted] transferred $272,779.32 to the NCE's escrow account for the Petitioner's EB-5 investment.
- On or after October 30, 2018, the Petitioner's mother gifted him 13,322,400,000 VND in cash, as documented in the gift declaration in the record.

A petitioner must show that he has invested his own capital. *See Matter of Izummi,* 22 I&N Dec. 169, at 195. The Petitioner has not established that the EB-5 investment funds derived from his mother's personal gift, rather than funds owned by [redacted] The Petitioner does not explain how the EB-5 investment on September 10 and 17, 2018 could derive from a gift that his mother gave him in cash more than one month later. Further, he does not explain why the contract to exchange the investment funds is between [redacted] his mother's business, and [redacted] rather than between [redacted] and himself or his mother. The Petitioner has not established that he received or had access to the purported cash gift at any time and that the funds ultimately invested with the NCE were his own. The Petitioner must resolve inconsistencies in the record with independent, objective evidence pointing to where the truth lies. *Matter of Ho,* 19 I&N Dec. 582, 591-92 (BIA 1988).

Additionally, the record does not include documentation of the purported transfers of funds from [redacted] to [redacted] from [redacted] to [redacted] or from [redacted] to [redacted] Although the record includes a contract between [redacted] and [redacted] the contract is not supported by documentary evidence of the actual transfer or receipt of funds. Further, the contract makes no mention of the other third-party exchangers [redacted] or [redacted] and is not supported by documentary evidence of the actual transfer or receipt of funds to either party. Beyond the Petitioner's assertion, the record lacks documentation of the involvement of [redacted] in the money transfer process at any time.

Although not addressed in the Chief's decision, we also conclude that the Petitioner has not established that he has invested or is actively in the process of investing the required amount of capital, as required by 8 C.F.R. § 204.6(j)(2).[5] Because the Petitioner has not established, by a preponderance of the evidence, his ownership of the funds received by the NCE at the time of investment, the funds do not meet the regulatory definition of invest under 8 C.F.R. § 204.6(e). Even if the record had established the complete path of funds described in the IVT between [redacted] and [redacted] which it does not, the money transfer contract with [redacted] demonstrates that the funds that ultimately reached the NCE's escrow account originated from [redacted] and not the Petitioner.

We acknowledge the Petitioner's claims that the Chief's decision does not comply with the applicable laws and regulations. However, contrary to the Petitioner's claims, pertinent regulations and precedent decision support the Chief's request for evidence regarding the claimed lawful sources of the exchange

[5] We exercise de novo review of all issues of fact, law, policy and discretion. *See Matter of Dhanasar,* 26 I&N Dec. 884 (AAO 2016). This means that we look at the record anew and are not required to defer to findings made in the initial decision. Furthermore, our decision may address new issues that were not raised or resolved in the prior decision.

funds used by the third-party exchanger for the currency exchange. 8 C.F.R. § 204.6(j)(3); *see also Matter of Ho*, 22 I&N Dec. at 210. The Petitioner also references the recent district court decision in *Battineni v. Mayorkas*, No. 22-1332, 2024 WL 4267522, (D.D.C. Oct 2, 2024), holding that the regulation requiring a petitioner to show that invested funds were obtained through lawful means does not require tracing of funds beyond their immediate source. However, we are not bound by federal district court decisions. *See Matter of K-S-,* 20 I&N Dec. 715 (BIA 1993). Further, as noted above, the circuit court has affirmed a decision that held USCIS' complete path interpretation of the regulations is its authoritative position as explained in the 1990 precedential decisions. *Borushevskyi v. USCIS*, 664 F. Supp. 3d 117, 129 (D.D.C. 2023), *aff'd*, 2024 WL 2762146 (D.C. Cir. May 30, 2024); *see also Matter of Ho*, 22 I&N Dec., at 210-11; *Matter of Izummi*, 22 I&N Dec, at 195.

In the present case, the record reflects that the Petitioner was not gifted any funds until October 30, 2018, more than one month after investment funds were transferred to the NCE. The record lacks sufficient evidence that the Petitioner had ownership of and access to his purported investment funds prior to the investment being made. Additionally, there are breaks in the paths of the Petitioner's investment funds. The plain language of 8 C.F.R. §§ 204.6(e) and 204.6(j)(3) supports the Chief's requirement that petitioners identify the source of funds, which is demonstrated through documentation evidencing the complete path of the funds. *See Truong v. USCIS*, No. 21-316, 2023 WL 4232658, at 5 (D.D.C. June 28, 2023). The relevant path includes tracing the funds from their point of origin though *any intermediary accounts*. *See id.* at *6.* (emphasis added).

Because the record did not establish the lawful source and complete paths of the Petitioner's funds from Vietnam to the United States, the Petitioner must demonstrate by a preponderance of the evidence that the funds occurring after the breaks in the paths derived from lawful means. 8 C.F.R. § 204.6(j)(3); *see also Matter of Ho*, 22 I&N Dec. at 210; *see also Borushevskyi v. USCIS*, 664 F. Supp. 3d 117 at 129. The record does not sufficiently demonstrate that the funds ultimately received by [redacted] derived from lawful sources as explained above. Therefore, the record remains insufficient to establish by a preponderance of the evidence the claimed lawful sources of the funds invested by the Petitioner in the NCE.

III. CONCLUSION

It is the Petitioner's burden to demonstrate his eligibility for the EB-5 classification, which includes establishing the lawful source of his purported EB-5 investment. *See Matter of Ho*, 22 I&N Dec. at 210-11; *Matter of Izummi*, 22 I&N Dec. at 195. Because the record did not establish by a preponderance of the evidence that the funds invested by the Petitioner in the NCE were lawfully obtained, we conclude the Petitioner is ineligible for the immigrant investor visa classification.

ORDER: The appeal is dismissed.